

### China: Rising evidence of a geographic K-shape

The widening geographic inequality will likely force Beijing to speed up fiscal reforms to provide local governments with a more solid tax base.

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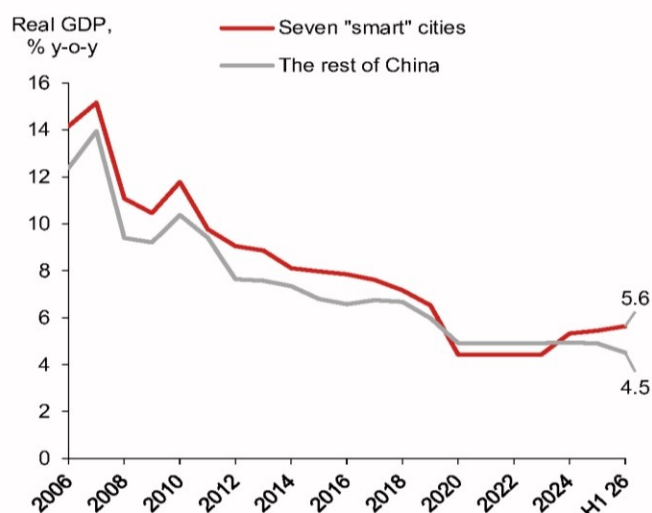
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Fig. 1: Outperformance of a few “smart” cities



- We see more hard evidence supporting our *views* that the fruits of AI-driven growth are mainly reaped by a few “smart” cities and the AI boom will lead to a geographic K-shape.
- Although real national GDP growth slowed to 4.7% y-o-y in H1 2026 from 5.0% in 2025, we estimate weighted average GDP growth of the seven “smart” cities, including three tier-1 and four select tier-2 cities, rose to 5.6% from 5.4%. Notably, the higher growth was broad-based across all seven cities, which jointly contributed 20% of the national growth in H1, the highest in at least two decades. By contrast, real GDP growth for the rest of country, which accounts for about 83% of national GDP, fell markedly to 4.5% from 4.9%.
- Details suggest that “smart” cities are particularly benefiting from AI-related economic activity, such as FAI. Although national FAI recorded a steep contraction of 5.7% y-o-y in H1, Beijing and Shanghai reported positive FAI growth of 3.0% and 6.8%, respectively.
- As solid growth in a few “smart” cities is unlikely to offset mounting growth headwinds across the rest of country, we believe Beijing will likely step up policy efforts in H2. That said, the K-shaped economy naturally limits the rationale for aggressive, sweeping stimulus.

Note: Seven “smart” cities include Beijing, Shanghai, Shenzhen, Suzhou, Hangzhou, Wuhan and Hefei. To smooth out Covid-led volatility, GDP growth for 2020-23 refers to annualized growth in these four years.

Source: NBS, Wind, Nomura Global Economics.

# Appendix A-1

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